# Expanding into the UK

*A practical guide for overseas companies setting up a UK presence*

The United Kingdom remains one of the most accessible jurisdictions in the world for international expansion. Company formation is quick and largely digital, the legal system is predictable and business-friendly, and the tax regime, underpinned by an extensive double-taxation treaty network, is competitive by international standards. This guide sets out what an overseas company needs to know and do to establish a compliant UK presence, from choosing a structure through to ongoing filing obligations.

**AT A GLANCE**

**Fast to set up**
Online incorporation, often complete within 24 hours.

**Flexible structures**
Private company, LLP, or a branch of your overseas entity.

**Competitive tax**
19–25% corporation tax and an extensive treaty network.

**Light-touch employment law**
Clear statutory framework; minimal bureaucracy for employers.

**Public officer addresses**
Every director and PSC needs a UK service address on public record.

**Ongoing filings**
Annual confirmation statement, accounts, and identity verification.

## Choosing your entity structure

Most overseas companies expanding into the UK choose between three structures. A private limited company is by far the most common and best understood route; an LLP suits ventures wanting partnership-style tax transparency; and a UK establishment (branch registration) suits companies that want a UK footprint without creating a separate legal entity.

| | Private Ltd company | LLP | UK Establishment (branch) |
|---|---|---|---|
| **Legal status** | Separate legal entity; shareholders' liability limited | Separate legal entity; members' liability limited | Not separate –a UK registration of the overseas company |
| **Officers** | At least 1 director (natural person); shareholder(s) required | At least 2 members, 2 of whom are designated members | Permanent representative(s) of the overseas company |
| **Minimum capital** | Any value above £0 | No share capital concept | Not applicable |
| **Tax treatment** | Corporation tax on profits; income tax on dividends | Taxed as a partnership; members taxed individually | UK corporation tax on profits attributable to the branch |
| **Best for** | Most inbound investors; well recognised, most flexible | Professional/JV structures wanting partnership tax treatment | Testing the market without a standalone UK entity |

## Setting up your UK Entity

1. **Choose your structure and name –** decide between a private limited company, LLP, or establishment. Pick a unique name that ends with "Limited" or "Ltd" and check it is not too similar to existing registered names at Companies House.
2. **Choose a SIC code –** select a Standard Industrial Classification (SIC) code that describes your main business activities.
3. **Appoint officers –** appoint at least one director (aged 16 or over) and identify any shareholders or People with Significant Control (PSCs) holding over 25% of shares or voting rights.

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4. **Verify identity –** all directors and PSCs must complete identity verification with Companies House, either directly or through an Authorised Corporate Service Provider (ACSP).
5. **Nominate UK addresses –** every UK company needs an "appropriate" UK registered office, and every officer needs a UK service address –both must be physical addresses capable of receiving post; a PO box is not sufficient.
6. **File for incorporation –** completion and submission of a Form IN01 (or LL IN01 for an LLP, OS IN01 for an establishment) is required as part of the incorporation process. A UK company can be incorporated online with Companies House, whereas a UK LLP and UK Establishment require paper filing. A complete, accurate online filing is typically processed within 24 hours.
7. **Register with HMRC –** register for corporation tax within 3 months of starting to trade, and for VAT once taxable turnover exceeds £90,000 (or earlier, voluntarily).
8. **Open a bank account –** not required before incorporation, but necessary to trade. Client/trust accounts offered by advisers can bridge the gap while standard KYC checks (often 1–2 weeks) are completed.

**MANDATORY –IDENTITY VERIFICATION**

Since 18 November 2025, every director and person with significant control (PSC) must complete identity verification with Companies House, either directly or through an Authorised Corporate Service Provider (ACSP). New appointments must verify before or on incorporation; individuals already on the register when the rules took effect have a transition period ending 18 November 2026. Filings by an unverified officer can be rejected, so this should be scheduled as part of, not after, incorporation.

## Tax, accounting and reporting

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|---|---|
| **Corporation tax** | 19% under £50,000 profit; marginal rate to £250,000; 25% main rate above that (reduced by associated companies in a group). Most companies pay in a single instalment 9 months after year end; larger companies pay quarterly instalments. |
| **VAT** | Registration required once taxable turnover exceeds £90,000 in a 12-month period (or earlier, voluntarily). Standard returns are quarterly, with payment due one month and 7 days after quarter end. |
| **Transfer pricing** | Related-party transactions must generally be priced on an arm's-length basis. Small and medium-sized enterprises are typically exempt, though many still document intercompany agreements as good practice. |
| **Financial reporting** | Accounts prepared under UK GAAP or IFRS. Records kept for at least 3 years and filed with Companies House within 9 months of year end, becoming publicly available. |
| **Audit** | Required unless the company –or, for an overseas-owned subsidiary, its global group –is below at least two of: 50 employees, £15m revenue, £7.5m assets. A UK entity under these thresholds can still require an audit if its parent group is not. |
| **Payroll (PAYE/NI)** | Income tax and National Insurance withheld at source. Employer NI is 15% on pay above £417/month; employee NI is 8% up to £4,189/month, then 2% above. Benefits in kind are reported via payroll or an annual P11D filing. |
| **Annual filings** | Confirmation statement every 12 months; accounts within 9 months of year end; corporation tax return within 12 months of the accounting period end. |
| **Auto-enrolment pension** | Compulsory minimum contribution of 8% of qualifying earnings (typically 5% employee / 3% employer). |

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# Employment law essentials

UK employment law is well developed but comparatively predictable and light-touch for employers. There is no general requirement to set up a UK entity purely to hire staff, but doing so is usually the cleanest way to avoid permanent-establishment tax risk and disputes over an individual's true employment status –using an Employer of Record does not fully remove either risk.

## Hiring, contracts and pay

- Employers must issue a written statement of key terms to every employee and worker; comprehensive contracts are standard practice and an important risk-management tool.
- Probationary periods of 3–6 months are common. Unfair dismissal protection currently requires 2 years' qualifying service, reducing to 6 months from January 2027 –making probation clauses more important going forward.
- Employers must comply with National Minimum Wage and Working Time limits; there is no general right to overtime pay unless contractually agreed.
- Minimum annual leave is 5.6 weeks (pro-rated for part-time staff), and Statutory Sick Pay is payable from the first day of absence from April 2026, regardless of earnings.
- Auto-enrolment into a workplace pension is compulsory for eligible employees, at a minimum combined contribution of 8% of qualifying earnings (typically 5% employee / 3% employer).

## Family rights, equality and conduct

- Statutory maternity, paternity, adoption and shared parental leave and pay apply, alongside a statutory right to request flexible working.
- The Equality Act 2010 prohibits discrimination, victimisation and harassment across nine protected characteristics, and requires reasonable adjustments for disabled employees; employers can be vicariously liable for staff conduct.
- Large employers (250+ staff) must publish an annual gender pay gap report, expanding to an equality action plan from April 2027.
- Whistleblowing protections apply from day one of employment, with no statutory cap on compensation for related dismissal or detriment.

## Data protection, representation and change

- UK GDPR governs the collection and handling of employee data throughout the employment lifecycle, with enforceable employee rights and significant fines for non-compliance.
- Trade union recognition is not mandatory, but employers must inform and consult employee representatives for collective redundancies and business transfers even where no union is recognised.
- Business transfers and outsourcing are governed by the TUPE regime: affected employees transfer automatically on existing terms, and dismissals or unilateral changes connected to the transfer are tightly restricted.
- Collective redundancy consultation is required for 20+ proposed redundancies at one establishment within 90 days –starting at least 30 days before the first dismissal (20–99 redundancies) or 45 days (100+); failure to consult or notify the authorities carries penalties of up to 180 days' pay per employee and, for failure to notify, is a criminal offence.

## Termination and disputes

Employers need a potentially fair reason to dismiss a qualifying employee, misconduct, capability, redundancy, illegality, or “some other substantial reason”, and must follow a fair process; certain dismissals (e.g. pregnancy-related) are automatically unfair regardless of service length. Statutory notice runs up to 12 weeks, though contracts commonly provide for longer notice for senior staff. Disputes are heard in specialist employment tribunals, most often concerning unfair dismissal, discrimination, or unpaid wages; settlement agreements are the standard route to a clean break.

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## Registered office and service addresses

Every company must maintain a UK registered office, and every director, PSC, and (for partnerships) partner must register a UK service address. Both appear on the public register at Companies House, searchable by anyone, worldwide. Many overseas businesses, and their officers, choose to use a third-party provider's address rather than a private, residential, or operational address, in order to:

- Keep home and personal addresses off the public record for privacy and security reasons.
- Present a stable, professional address while the business is still finding its feet or working from flexible space.
- Ensure statutory post from Companies House and HMRC is received and actioned reliably, rather than risk it being misplaced at an operational site.

## Ongoing compliance (Company Secretarial)

Incorporation is the start, not the end, of the compliance picture. UK companies and LLPs must, on a rolling basis:

- File a confirmation statement at least every 12 months, confirming officers, PSCs, share capital, and registered addresses are up to date.
- Prepare and file annual accounts with Companies House, generally within 9 months of the financial year end (audit exemptions apply for small and dormant entities).
- Maintain statutory registers, including the PSC register, and make event-driven filings whenever officers, addresses, or share capital change.
- Keep director and PSC identity verification current, including for any new appointments.

## Cross-border considerations for the overseas parent

Setting up the UK entity is only half the picture. The parts of the process that most often get missed sit at the seam between UK rules and the parent company's home jurisdiction, not within UK law alone.

### Group tax structuring

- Withholding tax on dividends, royalties and interest paid to the parent depends on the UK's double tax treaty (if any) with the parent's home jurisdiction, check the applicable rate early rather than assuming.
- Transfer pricing on cross-charges, IP licensing, or staff secondments between the UK entity and the parent must be priced on an arm's-length basis, on both sides of the border.
- Owning a foreign subsidiary typically triggers reporting obligations in the parent's home country too –these sit with the parent entity and are easy to overlook.
- Permanent establishment risk arises if home-country staff carry out substantive UK business without a formal UK structure in place.

### Staff mobility

- Transferring existing overseas staff into the UK uses the Global Business Mobility – Senior or Specialist Worker route; hiring fresh in the UK uses the Skilled Worker route. The two lead to different outcomes –GBM does not lead to settlement, Skilled Worker does –so the choice should match the intended length of stay.
- A UK sponsor licence is required before any assignment or local hire can be sponsored, regardless of the parent's home country. This has its own lead time and should be started early.
- Many countries have a bilateral social security agreement with the UK allowing a seconded employee to remain on home-country social security rather than paying into both systems –worth checking whether the parent's home country has one, and applying for the relevant certificate of coverage before the assignment starts.

### Employment culture gap

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- The UK has no at-will employment. Termination requires a fair reason and a fair process, and redundancy carries statutory cost, a material mindset shift for parents based in jurisdictions with more flexible termination norms.
- TUPE applies to any UK team acquired or transferred in, automatically carrying over existing employment terms and restricting associated dismissals or changes.

### Cross-border data transfers

- Moving personal data between the UK entity and an overseas parent needs a lawful transfer mechanism. Whether that is straightforward –UK adequacy regulations cover a number of countries –or requires standard contractual clauses or an International Data Transfer Agreement depends entirely on where the parent is based.

### Reporting and banking

- UK GAAP or IFRS reporting will need reconciling with the parent's home-country consolidation standard, including functional currency and FX treatment.
- Opening a UK bank account requires KYC and ownership documentation on the overseas parent – typically the slowest onboarding step, whichever country the parent sits in.



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**GET IN TOUCH**

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